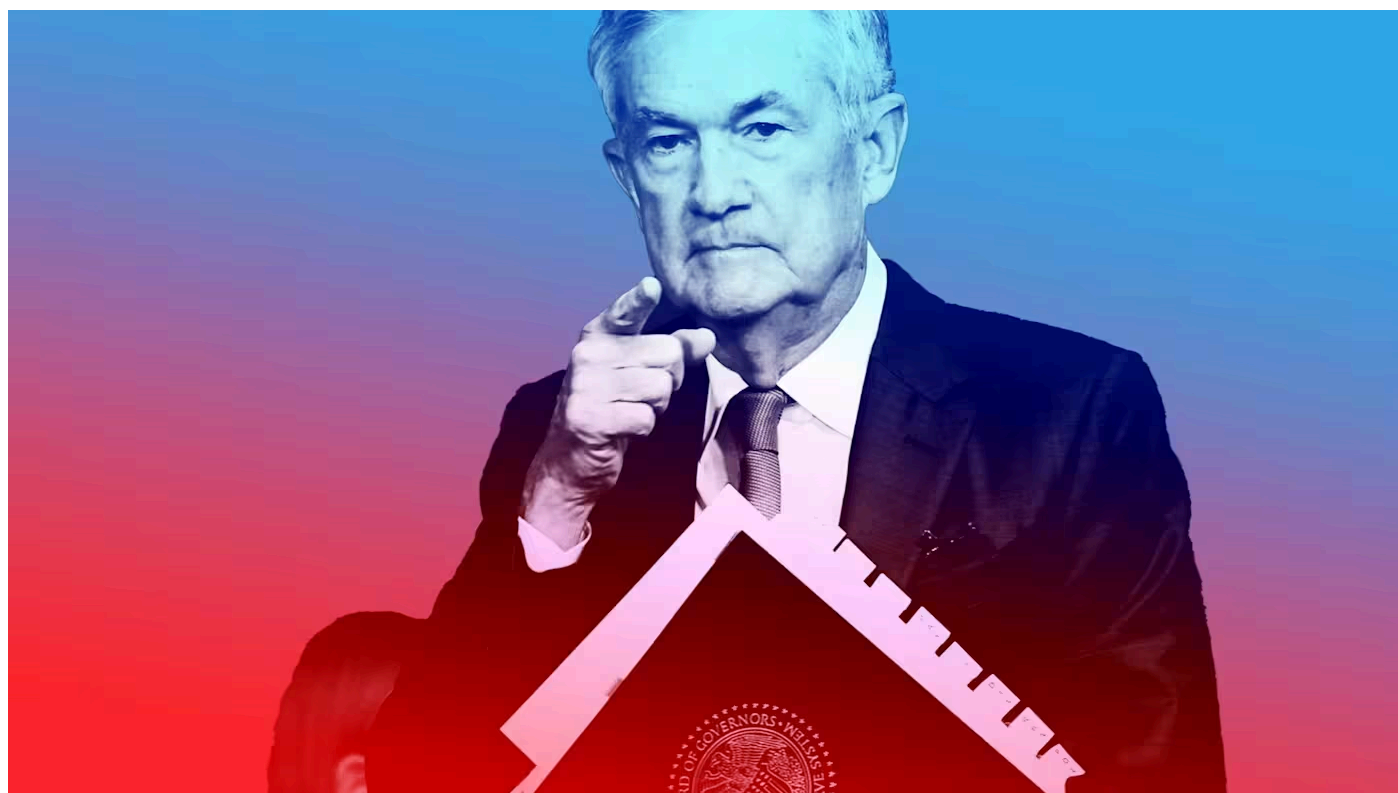


Opinion **Unhedged**

What the Fed should do

Inflation is the biggest risk

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Good morning. US President Donald Trump [says](#) companies should not have to report financial results every quarter; reporting just twice a year would save money and promote long-term thinking, he says. Unhedged is all for lower overhead costs, but the idea that semi-annual reporting would cure public companies' strategic myopia strikes us as bonkers. What is the difference between massaging the numbers every three months versus every six, when the planning horizons for projects that really matter extends to years? Email us: unhedged@ft.com.

What the Fed should do

Tomorrow the Federal Reserve's Open Market Committee announces a rate decision. The market nearly unanimously expects a 25 basis point cut, and projects four or five more quarter-point reductions in the following twelve months.

The consensus is strong enough that a quarter point more or less, or a strong signal that Fed is not solidly in sequential cutting mode, will move markets. A 25-point difference in overnight interest rates does not make much of a direct difference to the economy. But with the Fed stuck between its two mandates — the labour market is weakening and inflation is stuck above target — what matters is what the committee reveals about which end of the mandate it will prioritise, and how it will react when new data arises.

We think the deep consensus around a tidy series of quarter-point rate cuts conceals a wide range of possibilities: it might be the correct median projection, but it would be a mistake to ignore the wide range of outcomes on either side. With that in mind, we present the arguments for a single cut tomorrow; for a dovish jumbo cut; and for a hawkish no-cut. Then we'll say who we think is right.

The argument for a 25 basis point cut (consensus): With the annual revisions of the payrolls data now in, we know that the labour market has created far fewer new jobs in the past 12 months than in the prior year or two. This trend is confirmed by a gradual slowdown in measures of final demand (such as [real final sales](#) to private domestic purchasers). Part of the job slowdown is due to lower labour supply, from an ageing, native-born population and an immigration crackdown. Even so, Rick Rieder of BlackRock writes:

The velocity of labor and/or labor mobility is now extremely low. We think that the mortgage rate being too high has also slowed labor mobility, and for all of these reasons, the Fed will be justified in moving to cut policy rates, and we wouldn't be surprised if they chose to move more aggressively from here

Given this, "it's better to get ahead of [the labour market] as, historically, once unemployment starts rising, it keeps rising," as Seema Shah of Principal Asset Management put it to Unhedged. Yes, inflation is flat to up, but most of the upward impulse comes from goods inflation as companies absorb a one-time shock from tariffs.

And remember, because the market has priced in a series of cuts, failing to cut is not a neutral move: it's a tightening of financial conditions.

The argument for a 50 basis point jumbo cut (dovish): All the reasons for a 25 point cut apply, and on top of them, the data from rate-sensitive industries and indicators of sentiment are slipping badly. The employment component of the manufacturing purchasing managers' index is deep into contraction, and permits for new housing construction are at a four-year low. The Michigan consumer survey's employment expectations [component](#) is at recessionary levels.

"The Fed needs to be more concerned about the economic circumstances of the labour market than they are about inflation," Kevin Philip at Bel Air Investment Advisors told Unhedged. "I don't think the Fed will close its eyes to high interest rates on credit card debt — which just hit an all-time high this past month — as well as high mortgage rates for residential and commercial spaces." Inflation remaining slightly elevated at about 3 per cent, but within the Fed's control, wouldn't be terrible. "There's two ways to deal with debt: you pay it down, or you inflate your way out of it," he said.

The argument for not cutting yet (hawkish): Inflation is a much more serious risk than the doves, and even the consensus, think. Don't get lost in the thousand possible tweaks to the data. On all [broad measures](#), goods inflation is rising and services inflation is rooted above target.

Adam Posen of the Peterson Institute pointed out to Unhedged that tariff pass-through to prices appears to be picking up rather than subsiding. At the same time, he says, the labour market is tighter than consensus appreciates. The prime age labour force participation rate is near its all-time high (at 84 per cent). Wage growth is solid (above 4 per cent annually, high enough to promote services inflation). The break-even jobs number has fallen with net immigration.

A further point: Matt Klein points out at The Overshoot (as Unhedged has pointed out [before](#)) that household balance sheets are extremely strong, making further stimulus dangerous. “American households have enormous untapped financial firepower at their disposal,” Klein writes. “Any attempt to meaningfully open the taps risks unleashing a massive flood of additional consumer spending, much of which would probably get translated into higher prices rather than higher output.”

Finally, financial conditions generally are loose. Stock prices are high. There is gobs of liquidity. Credit spreads (and spreads of spreads) are very tight. Bank credit is growing [nicely](#), the IPO market is [open again](#). There is unlimited money available for Big Tech companies to invest in AI. Is this a market we want to throw gasoline on?

Unhedged’s view: We’re with the hawks. Resurgent inflation is the scariest risk right now, and not just in the sense that inflation eats away at purchasing power and grinds down sentiment. We think another bout of inflation could cause a market crash. Risk asset valuations are bubbly and the US fiscal position is precarious. Unmoored inflation expectations could lead to a spiral in long-term interest rates that would make the US debt burden unmanageable and crush risk markets. A 25 basis point cut tomorrow is fine, but the Fed needs to be very careful to signal that further cuts depend on the data. This is all the more true given the administration’s fantastically unwise attacks on Fed independence have left the bank’s credibility open to question.

One good read

[Nepal’s Marie Antoinette moment.](#)

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